

Australia Daily Brief

Wednesday, September 30, 2026

1,718 words · 7 min read

RE: RBA hikes to 4.6%, highest since 2011 · Israel accuses Wong of 'blatant lie' over Palestinian statehood · Pacific defence ministers pledge collective action in Suva · Fiji's cocaine-for-flour scandal widens · Tuvalu inaugurates first woman Governor-General

ASX 200

8,789

+0.27%

AUD/USD

0.6972

-0.88%

NZX 50

13,834

+0.09%

NZD/USD

0.5653

-0.37%

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• TODAY AT A GLANCE

- 1 The Reserve Bank of Australia lifts the cash rate to *4.6 percent*, the highest since 2011, after August inflation jumped to 4 percent, and all four major banks pass the increase on in full from October 9.
- 2 Israel accuses Foreign Minister **Penny Wong** of a 'blatant lie' in her UN speech backing Palestinian statehood, the sharpest public rift yet between Canberra and Jerusalem this year.
- 3 Pacific defence ministers close the South Pacific Defence Ministers' Meeting in Fiji pledging deeper cooperation on disaster response and transnational crime, while Solomon Islands Prime Minister **Mathew Wale** presses Indonesia at the UN General Assembly to allow a long-delayed human rights visit to West Papua.

• TOP STORIES

TRADE-ECONOMY

RBA lifts cash rate to 4.6 percent, highest since 2011

The Reserve Bank of Australia raised the cash rate by 0.25 percentage points to *4.6 percent*, its fourth increase this year and the highest level since November 2011. All four major banks, Commonwealth Bank, NAB, Westpac and ANZ, passed the rise on in full, lifting variable home loan rates from October 9. The move follows August inflation data showing the consumer price index climbing to 4 percent, up from 3.5 percent in July, driven by housing costs and petrol prices.

per ABC News: "Banks raise interest rates after RBA lifts cash rate to highest since 2011" · also AFR

AU-FOREIGN-POLICY

Israel accuses Wong of 'blatant lie' in Palestinian statehood row

Israel has accused Foreign Minister **Penny Wong** of a 'blatant lie' in a speech to the United Nations, straining relations already frayed by Canberra's support for Palestinian statehood. The dispute centres on a condition critics call 'pay for slay,' a reference to Palestinian Authority payments linked to prisoners and militants' families, which some argue should bar recognition.

per SMH Federal Politics (Matthew Knott): "'Pay for slay': Debate erupts over key condition for Palestinian statehood"

PACIFIC-DIPLOMACY

Pacific defence ministers pledge collective action on regional security

Fiji's Defence Minister **Pio Tikoduadua** closed the South Pacific Defence Ministers' Meeting with a call for collective action, declaring that 'no single country, regardless of its size or capability, can address these issues alone.' The three-day talks, held under the theme 'Securing the Blue Pacific: Collective Responsibility, Resilient Futures,' covered transnational organised crime, climate change and the Pacific Response Group. Tikoduadua said the forum's 'centre of gravity' remained relationships among member states, not a policy document or military capability.

per Islands Business: "Blue Pacific defence leaders move from pledge to action"

• OVERNIGHT

PACIFIC-POLITICS [PNG election security budgets not reconciled ahead of 2027 poll](#) · PNG Post-Courier

Papua New Guinea's police and defence force have not reconciled their budget requests for 2027 election security, a parliamentary committee heard. Police Commissioner **David Manning** and PNGDF Acting Commander Rear Admiral **Philip Polewara** both sought funding, with the committee warning of a risk of 'double dipping and financial overlap.'

AU-POLITICS [AEC pushes mandatory labelling for AI deepfakes in election ads](#) · The Australian

The Australian Electoral Commission is pushing for mandatory labelling of AI-generated deepfakes in election advertising, warning that elections face 'significant risks' from synthetic media targeting politicians. The push follows a string of AI-related controversies in Australian politics this year.

TRADE-ECONOMY [PNG resource fund moves to let communities shape investments](#) · PNG Post-Courier

Papua New Guinea's Mineral Resources Development Company has completed the first phase of community needs assessments in Gulf and Southern Highlands provinces, aiming to let resource-beneficiary communities help direct future Community Investment Trust Fund spending.

PACIFIC-POLITICS [Bougainville and PNG sign health powers drawdown deal for 2027](#) · PNG Post-Courier

The National Department of Health and the Autonomous Bougainville Government's Health Department signed binding resolutions committing both sides to complete the full transfer of health powers and functions by September 2027, a step in Bougainville's post-referendum autonomy process.

• STAT OF THE DAY

4.6%

RBA cash rate, highest since 2011

The Reserve Bank's fourth hike this year lifts borrowing costs across the economy as inflation runs to 4 percent, with all four major banks passing the rise on in full from October 9.

ABC News

• AUKUS WATCH

PILLAR 1 · THE DIPLOMAT

Commentary floats Korean KSS-III as AUKUS submarine hedge

A Diplomat commentary asks whether South Korea's conventionally powered KSS-III submarine could give Australia a cheaper, faster alternative to the AUKUS submarine plan, which the piece describes as a 'shambles.' No Australian, US or UK official body has proposed such a substitution.

• PACIFIC WIRE

SOLOMON ISLANDS · ISLANDS BUSINESS

Solomon Islands PM presses Indonesia on West Papua UN visit

Solomon Islands Prime Minister **Mathew Wale** urged Indonesia to allow a long-delayed UN human rights visit to West Papua, telling the UN General Assembly that 'reports of human rights violations... have persisted far too long' and must be independently verified. Wale linked the issue to Solomon Islands' support for self-determination in New Caledonia and French Polynesia.

VANUATU · VANUATU DAILY POST

Vanuatu renews call for UN rights visit to West Papua

Vanuatu has renewed a Pacific Islands Forum leaders' call for Indonesia to allow the UN High Commissioner for Human Rights to visit West Papua to assess claims of widespread rights abuses, adding its voice alongside Solomon Islands at the UN General Assembly session.

FIJI · RNZ PACIFIC

Nearly 40kg of cocaine evidence replaced with flour in Fiji court

Fiji Police confirmed forensic tests on 39 cocaine bars stored at the Suva High Court, worth roughly *FJ\$30 million*, all returned negative after the exhibits were tampered with. Chief Justice **Salesi Temo** said there were 'rotten apples... even inside the courthouse,' and one person of interest is currently overseas.

FIJI · ISLANDS BUSINESS

Former attorney-general Leung elected to head Fiji Law Society

Former Attorney-General **Graham Everett Leung** has been elected president of the Fiji Law Society, pledging to keep the body apolitical as Fiji approaches general elections and navigates a constitutional review process.

TUVALU · ISLANDS BUSINESS

Tuvalu inaugurates first woman Governor-General

Tuvalu has inaugurated **Temukisa Auina Peneshuro Hauma**, 71, as its first woman Governor-General, ahead of the country's 48th Independence Anniversary. Prime Minister **Feleti Teo** called it 'a historic moment for

Tuvalu.'

TUVALU · ISLANDS BUSINESS

Tuvalu PM honoured for climate leadership, to host Pre-COP31 segment

Prime Minister **Feleti Teo** received the Rising Nations Leaders Award, citing Tuvalu's constitutional affirmation of its maritime zones and statehood continuity and the Falepili Union with Australia. Tuvalu will host the Leaders Segment of Pre-COP31 on October 5 and 6.

TONGA · PACIFIC ISLAND TIMES

World Bank approves growth and jobs financing for Tonga

The World Bank approved the first phase of a Tonga First Growth and Jobs Development Policy Financing package, funded by a \$15 million IDA grant, to expand digital payments, workforce skills and ocean resource management. Finance Minister **V. Sivoki Lavemaau** said the program targets economic participation after the Bank found more than one in four Tongans are unemployed or lack training access.

PAPUA NEW GUINEA · PNG POST-COURIER

Australia partners with Samaritan Aviation on PNG medevac access

Australia has partnered with Samaritan Aviation to improve emergency medical access and disaster relief support for isolated communities across Papua New Guinea, supporting essential services in areas often unreachable by road.

• NEW ZEALAND

NZ-FOREIGN-POLICY · AFP

New Zealand denies breaching climate commitments to EU

New Zealand rejected a claim filed with the European Commission by the Dutch group Both ENDS that Wellington breached climate commitments made in its 2024 free trade deal with the EU, citing reopened offshore oil and gas exploration and a weakened methane target. Trade Minister **Todd McClay** said New Zealand 'is compliant with the EU free trade agreement,' worth an estimated NZ\$1.8 billion a year.

NZ-POLITICS · NEWSROOM NZ

New Zealand's fiscal update piles pressure on Labour's own plan

New Zealand's National-led government received glimmers of good fiscal news according to Newsroom's analysis, though with 'crucial caveats,' shifting scrutiny onto Labour to publish a costed fiscal plan ahead of the November 7 general election.

CHINA IN THE PACIFIC

PAPUA NEW GUINEA · OTHER · CHINA DAILY (REGION) STATE MEDIA

China and PNG mark 50 years of diplomatic ties in Beijing

Officials from China and Papua New Guinea marked the 50th anniversary of diplomatic relations at a Beijing reception, with Chinese official **Yuan Mindao** describing PNG as China's largest trading partner, investment destination and engineering contracting market among Pacific Island countries. PNG's ambassador to China, **Thaddeus Kambanei**, said the relationship 'began with people meeting people.'

• CANBERRA POLITICS

Shoebridge elected Greens leader as Faruqi disputes ballot process

David Shoebridge has been elected the Greens' new federal leader, with **Steph Hodgins-May** as deputy, defeating **Mehreen Faruqi** and **Sarah Hanson-Young** in an unprecedented ballot for a party that had previously chosen leaders by consensus. Faruqi has since disputed the fairness of the ballot and vowed to push 'radical action.'

• BUSINESS AND ECONOMY

Fijian Holdings posts \$67 million profit, assets pass \$1 billion

Fijian Holdings Limited reported a consolidated net profit before tax of *FJ\$67 million*, up 11 percent on the prior year, with total assets exceeding *FJ\$1 billion* for the first time. Chairman **Rokoseru Nabalarua** said the focus now shifts from asset growth to ensuring long-term returns.

• UPCOMING

OCT
5

Tuvalu hosts the Leaders Segment of Pre-COP31

Leaders will see firsthand the impacts of sea-level rise on Tuvalu, framing the Pacific's negotiating position ahead of COP31.

OCT
9

Australia's big four banks lift variable home loan rates by 0.25 percentage points

The pass-through of the RBA's rate rise adds to household cost-of-living pressure ahead of the federal government's budget messaging.

OCT
26

Advance voting opens for the New Zealand general election

Marks the start of the formal voting period in a tight race between the National-led coalition and Labour.

NOV
7

New Zealand general election

Determines whether the National, ACT and NZ First coalition retains government, with implications for defence spending and foreign policy settings.

• ANALYSIS AND OPINION

CAMERON HILL (EDITORIAL RESPONSIBILITY), DEVELOPMENT POLICY CENTRE STAFF · DEVPOLICY BLOG **September 2026 aid news**

The roundup compiles September developments across Pacific and global aid, including a disputed treaty involving Solomon Islands, Fiji's escalating HIV crisis and broader cuts to humanitarian funding. It draws on Development Policy Centre staff monitoring of Australian and international aid programs. The piece is a monthly digest rather than a single investigative story.

Argument: This month's aid news roundup tracks a contested Solomon Islands treaty, Fiji's HIV emergency and shrinking humanitarian funding worldwide.

Here we go again. Mine countermeasures are Australia's forgotten naval capability

The piece argues mine countermeasures, once seen as an essential naval capability, have been allowed to atrophy even as Australia commits heavily to submarines and major surface combatants. It frames this as a recurring pattern of capability neglect. The argument implies a gap in mine warfare readiness relevant to any contingency involving sea lane denial.

Argument: Australia has let its mine countermeasures capability decline from six Huon-class minehunters while pouring investment into submarines and warships, accepting significant risk.

ASPI STRATEGIST

Sovereignty isn't self-sufficiency. It's the power to make choices

The commentary pushes back on framing sovereignty purely as domestic self-sufficiency in defence production or supply chains. It argues true sovereignty is about retaining the ability to make independent strategic choices, including through alliances. This reframes debates over AUKUS and industrial policy as questions of optionality rather than autarky.

Argument: Australia's sovereignty debate conflates self-sufficiency with sovereignty, when sovereignty properly means preserving strategic options and agency in decision-making.

LOWY INTERPRETER

Fast following: The edge Australia's defence needs

The piece draws on lessons from ongoing conflicts to argue that rapid adaptation and imitation of adversary or ally innovations can matter as much as original invention. It suggests Australia's defence innovation settings should prioritise speed of adoption. The argument bears on procurement and acquisition reform debates.

Argument: Military innovation is not only about moving first but about copying quickly, as demonstrated by states currently at war.

LOWY INTERPRETER

Australia and India need a treaty and a trade deal

The piece argues that existing trade arrangements between Australia and India are insufficient without investment protections, and that a treaty alone would not guarantee viable Australian business operations in India without complementary economic cooperation. It calls for both instruments to be pursued together. The argument is framed around unlocking stalled bilateral commercial potential.

Argument: Australia and India need both a bilateral investment treaty to protect Australian capital and an economic cooperation agreement to make resulting businesses commercially viable.

CSIS Australia Chair

AUSTRALIA DAILY BRIEF

Washington, D.C.

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